



GROWTH

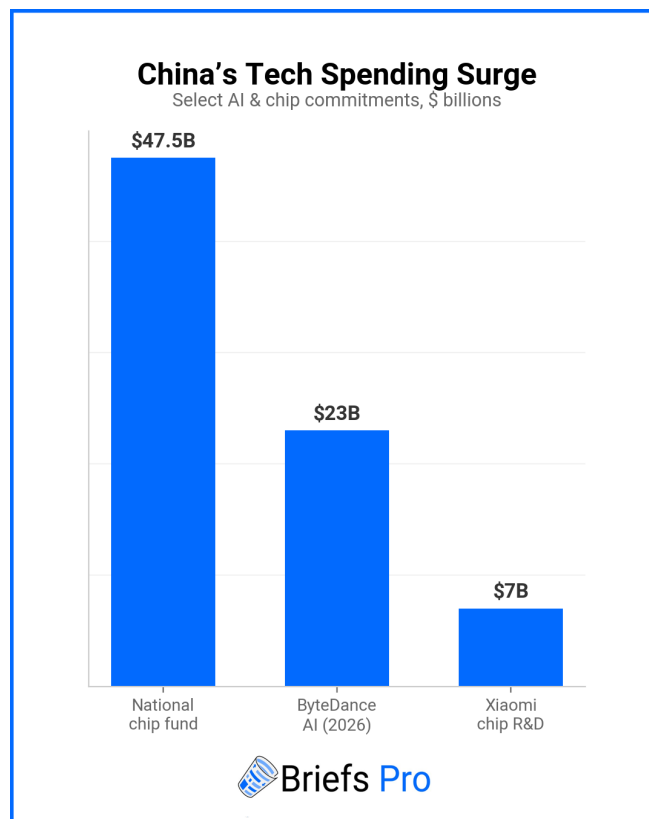
June 2026 Report

China's economy has been outgrowing America's for years - and its biggest companies are cashing in.

From phones to online shopping to social apps, Chinese giants are pulling in record profits.

But, instead of just banking that money, they're pouring it into the future of technology - things like artificial intelligence, cloud computing, and their own computer chips, and more.

This is where we have identified a **Broad Market Shift**: China is rebuilding the way its biggest companies pay for big ideas, with the steady cash from everyday businesses quietly bankrolling a giant bet on AI.



The key to this shift our analysts spotted in plain sight: This isn't risky startups burning borrowed money to chase AI or build robots.

It's proven, profitable giants spending cash they already earn - and the market has barely noticed, for two reasons:

- A lot of these companies are hard for Americans to buy, because they don't trade on U.S. exchanges.
- When most people think about tech, they think of American names like Nvidia, OpenAI, or Apple, not Chinese ones.

The bottom line: All of this spending is already happening, but these Chinese stocks are still being priced as consumer companies.

This is a real gap and is exactly what growth investors should be paying attention to.

Below, we break down what's happening and the two stocks our analysts are buying.

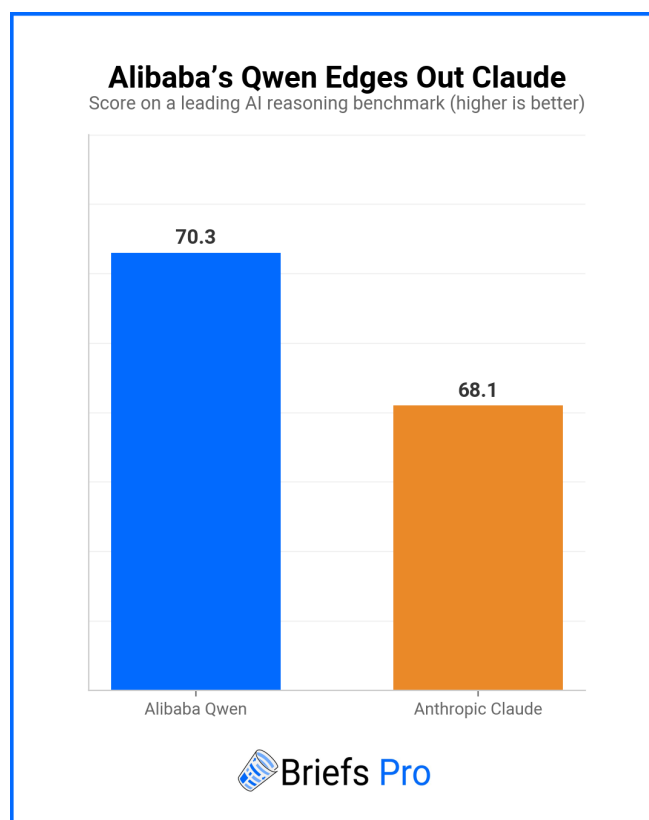
ALIBABA (BABA)

Alibaba is the cleanest single way for investors to get in on this shift.

What's happening? U.S. investors still picture Alibaba as the Amazon of China - the place you buy almost anything.

Because of that, its AI and cloud investments have gone under the radar.

Alibaba runs the largest AI cloud service in China, it's building its own chips through a unit called T-Head, and it owns Qwen - an AI brain with 300 million monthly users that ranks among the best in the world.



Alibaba's Qwen vs. Anthropic's Claude on a leading AI reasoning benchmark. Source: Artificial Analysis - artificialanalysis.ai

Alibaba has promised about \$56 billion over three years to build out its cloud and AI - so much that its spare cash actually dropped below zero for a quarter.

As of early June 2026, the stock traded near \$121 - about 18 times next year's expected earnings, against profit growth of roughly 16% a year.

In plain terms, investors could be paying a fair price for steady growth, and the AI and chip bets come along almost free, because the market barely counts them yet.

What does that mean for growth investors? Alibaba's business is still expanding at a double-digit pace, with a long AI and cloud runway ahead and little of that future priced in today.

Exit Trigger: The value here is the AI and chip story. If the T-Head chip spinoff falls apart, or the cloud keeps bleeding cash for years with no profit in sight, the reason to own Alibaba weakens - and that's when we'd step away.



Plus, shopping trends fund the business. There's a chance Chinese or global spending could drop, which may impact its ability to fund future AI ambitions.

iSHARES MSCI CHINA (MCHI)

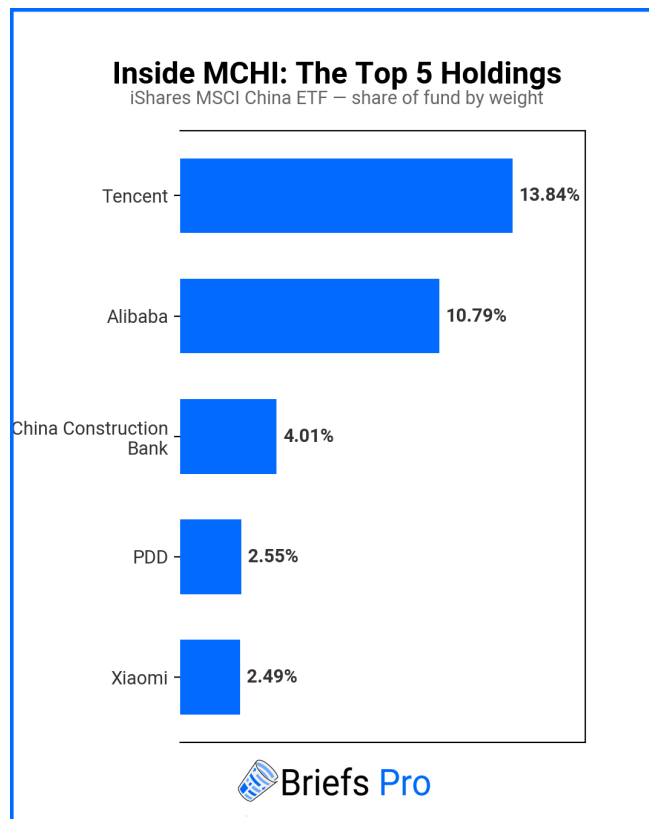
There's also a fund that captures this shift for investors: the iShares MSCI China ETF.

Why? Some of the biggest names riding this shift don't trade on American exchanges, making them hard for the average investor to buy - names like Xiaomi, BYD, and Tencent.

The iShares MSCI China ETF (MCHI) is a basket that trades like one stock but holds 588 Chinese companies inside it.

Its largest pieces are the ones right in the middle of this shift:

- Tencent at about 14%.
- Alibaba at about 11%.
- plus Xiaomi, and a slice of electric-car leader BYD.



For growth investors, the appeal is simple - one buy delivers a whole basket of China's fastest-growing tech names, instead of betting everything on a single winner.

Exit Trigger: Xiaomi is the reason this fund earns its spot. If MCHI ever drops Xiaomi or shrinks it to almost nothing, it loses the very edge that puts it ahead of the cheaper options.

Risks We're Watching

The biggest risk here is China itself. Both picks live entirely inside one country, so if China's government, economy, or market stumbles, that will impact returns.

- Beijing has cracked down on its own tech giants before, and it could do it again.

Then there's global trade. China still can't make its most advanced chips at home, and if the U.S. tightens its export rules further, AI spending in the country could slow.

Lastly, shoppers need to keep spending. This shift works best when people keep buying phones, cars, and everything else.

A deep slowdown at home - and China's housing market is already shaky - would drain the fuel powering all of it.

The Takeaway

The story here is simple: China's economy is growing fast - even faster than America's. That lets big everyday businesses pile up cash, pour that cash into the future, and turn themselves into global tech leaders in the process.

The U.S. and China are both racing to lead in AI - and that \$47.5 billion chip fund shows how serious China is about winning.

All that money has to land somewhere - and it's landing on companies like Alibaba, Xiaomi, PDD Holdings, and Tencent.

Alibaba is the clearest one-stock way to play it, while MCHI gives investors broader exposure to the whole shift.

Either way, investors who want growth tied to one of the biggest shifts in the world right now will want to keep an eye on these two for the long haul.

- Briefs Finance Team

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